

What if I told you that the difference between a person with a good credit score and a person with a bad credit score can add up to a million dollars? Got your attention? I thought so. It makes sense that the better our credit score, the better rates we get and the better our financial situation. Just how much better? According to TheStreet.com, a million bucks.

The article posted at <http://www.thestreet.com/newsanalysis/opinion/10371800.html> will tell you. A guy with bad credit pays more for his car, his house, his insurance, everything. Over the span of thirty years, the difference of what he pays versus what a guy with good credit pays is huge. And if you figure in the money lost on interest that could have been earning interest, the total could equal one million dollars – or even more. Can you imagine blowing your shot at being a millionaire merely because you had bad credit!

The author of this article, Jeffrey Strain, runs some figures. The national average cost of a house is over \$300,000. The guy with good credit gets a 30-year \$300,000 mortgage for less than 6.5%. A guy with bad credit has an interest rate of over 10%. Over the life of that 30-year loan, he pays \$288,000 more.

Then both of these two gentlemen purchase a new car. Mr. Good Credit gets a rate just over 7% on a \$25,000 loan. Mr. Bad Credit's rate is doubled to 14.9%. He pays about \$3200 more over the 3-year loan period for the same car. And the thing about cars, we don't keep them forever. So every time Mr. Bad Credit finances a new car, he pays more, which adds up to about \$19,000 more than Mr. Good Credit over the course of thirty years.

Mr. Bad Credit has higher interest rates on his credit cards. The average credit card debt is \$2200; compare a 9% good credit rate to a 20% bad credit rate and the difference is more than \$7200.

Imagine Mr. Good Credit, who is not paying that extra interest, invests \$800 a month (the difference between his house payment and that of Mr. Bad Credit). At 8% compounded annually for 30 years, Mr. Good Credit has earned \$1.2 million. If that doesn't make you sit up and take notice, nothing will!